Aerospace Industry evaluation

Executive Summary

The aerospace industry presents an attractive long-term investment opportunity, supported by rising global air travel, increasing defence expenditure and strong aircraft order backlogs. Despite near-term challenges including supply chain disruptions and labour shortages, the sector's high barriers to entry and long-term demand drivers suggest continued growth over the next decade.

Industry overview

The Aerospace industry is made of 3 main sectors, Commercial, defence and space.

Commercial

- Passenger aircraft
- Cargo
- Airlines

Defence

- Military aircraft
- Missiles
- Space and satellite systems

Space

- Satellites
- Space exploration

Industry analysis

According to PWC's 2025 Annual defence industry performance and outlook the current market value of the Aerospace industry has surpassed $1 trillion. Comparing this to 2014 where it was evaluated at around $682 billion. This is a 46.62% growth in 11 years and according to PWC the industry is forecast to grow upwards of $1.81 trillion by the year 2035 which is an 81% growth in 10 years.

The Aerospace industry has seen rapid growth over the past decade, some of the main driving factors are the recovery in international travel, increased defence spending and space commercialisation.

Commercial aerospace growth is primarily driven by the recovery in global passenger traffic and substantial aircraft order backlogs. Airlines are increasingly replacing older fleets with newer, more fuel-efficient aircraft, supporting long-term demand for manufacturers. However, with the demand there is a bottleneck in supply as there is a shortage in skilled labour, materials and manufacturing facilities. Despite this, companies like Boeing and

Airbus have committed to building new manufacturing facilities, with Boeing specifically constructing a new manufacturing Centre in Washington with a total size of 4.3 million square feet, boosting commercial jet construction to 52 per month.

The defence sector has experienced major growth due to many countries pledging to boost funding to the military industrial complex, with many NATO members committing to spend at least 2% of their GDP to defence. These new funds have gone towards the construction of missile systems, drones and new aircraft. Elevated geopolitical tensions and increasing military expenditure are likely to support sustained demand for defence products over the medium to long term.

Growth in the space sector is increasingly being driven by demand for satellite communications, Earth observation and defence applications, rather than solely by space tourism. With improvements in technology and demand for modernisation, this sector will see growth in the future.

Industry positives

- Aircraft backlog-big companies have years of production lined up
- Defence spending growth-governments are increasing military expenditure
- High barriers to entry-It's extremely difficult to enter this industry therefore less competition
- Long-Term Contracts-many companies can rely on steady cashflow

Risks

- Supply chain shortages- Lack of materials and components lead to delays
- Labour constraints-lack of skilled workers
- Geopolitical Risks-Tariffs and export restrictions

Industry outlook

Overall, the aerospace industry appears well-positioned for long-term growth due to favourable structural trends in commercial aviation, defence spending and satellite demand. However, investors should continue monitoring supply chain constraints, labour shortages and geopolitical risks that could affect profitability and execution.